NVIDIA NVDA

NasdaqGS · Technology · Semiconductors · USD · Price date 06.11.26

FAIR VALUE	PRICE	MARGIN OF SAFETY	ALPHA, ANNUAL	MARKET CAP	DIVIDEND YIELD
233.53	186.64	+25.1%	+28.2%	4,506.8bn	1.2%
DDM	USD, close 06.11.26	$V_0 / P_0 - 1$	IR 0.63	USD	DO USD 2.16

1 · INVESTMENT CASE

FAIR VALUE VS PRICE

The two-stage DDM gives USD 233.53, against a price of USD 186.64, 23% below the 52-week high. The market prices a slowdown in AI spending, yet Q2 revenue doubled to USD 96.2bn and the company guides USD 108bn for Q3, without China [1]. At 11.7x forward earnings, against 20.6x for peers, the leader trades below the group.

MARGIN OF SAFETY AND ALPHA

Margin of safety +25.1%, alpha +28.2% a year (IR 0.63), assuming the gap closes within one year.

CATALYST

Q3 FY2027 results and Q4 guidance · `17 Nov (company)`. Set by the company for 17 Nov, after the close [2]; the quarter ended on 25 Oct. A quarter at or above the USD 108bn guide, with Rubin in full production [1], would show that demand is not slowing and move the price towards fair value.

DECISION

Long candidate. We buy: the margin of +25% meets our 25% rule, and the comparables (USD 254.31) and analysts (USD 327.14) see more. A dated report can close the gap. Its high residual risk keeps the Treynor-Black weight small.

2 · VALUATION: DIVIDEND DISCOUNT MODEL

WHY THIS METHOD

NVIDIA returns cash mostly through buybacks: USD 39.0bn in the first half against USD 6.3bn of dividends [1]. So we discount dividends plus buybacks (cheat sheet p. 2). Two stages, because growth is far above what any company can keep forever: 50.0% for 7 years, then 3.0%.

METHODS THAT DO NOT FIT

Gordon alone gives USD 23.56: one rate cannot fit a company growing this fast. P/B (19.68x) says little, as its value is in chip designs and software, not on the balance sheet. Peers are smaller and differently built, so the comparables are only a double check.

DDM INPUTS

INPUT	VALUE	SOURCE OR REASON
P_0, price	USD 186.64	Close 06.11.26, not adjusted
D_0, dividend	USD 2.16	Dividends, 12 months + last FY buybacks per share
β	1.70	Bloomberg BETA
r_f, 10-year yield	4.84%	FRED DGS10, 05.11.26
ERP	4.46%	Damodaran, United States, 5 Jan 2026
$k = r_f + \beta$ ERP	12.42%	CAPM
g_1, first stage	50.0%	Bloomberg, long-term EPS growth (LTG)
T, years	7	Years of above-trend AI demand; ours
g_2, terminal	3.0%	Long-run nominal growth of the economy; ours
Gordon value	USD 23.56	−87% vs price
Two-stage value	**USD 233.53**	**+25% vs price; 76% terminal value**

SENSITIVITY: TERMINAL GROWTH AND COST OF EQUITY

k \ g_2	2.0%	2.5%	3.0%	3.5%	4.0%
11.42%	245.76	257.20	270.01	284.43	300.79
11.92%	229.53	239.55	250.69	263.16	277.20
12.42%	214.95	223.77	**233.53**	244.37	256.51
12.92%	201.80	209.60	218.19	227.68	238.25
13.42%	189.88	196.81	204.41	212.77	222.02
Upside	+15%	+20%	+25%	+31%	+37%

Two-stage DDM value, USD. Shaded: at or above the price of 186.64. Dark: base case. Upside at the base k.

The DDM stays above the price in 25 of 25 cases. It falls to the price only if k rises by about 1.7 points (a β near 2.1) or g1 falls to about 45%: the value rests on the long growth phase, not on g2.

3 · COMPARABLE COMPANIES: A DOUBLE CHECK

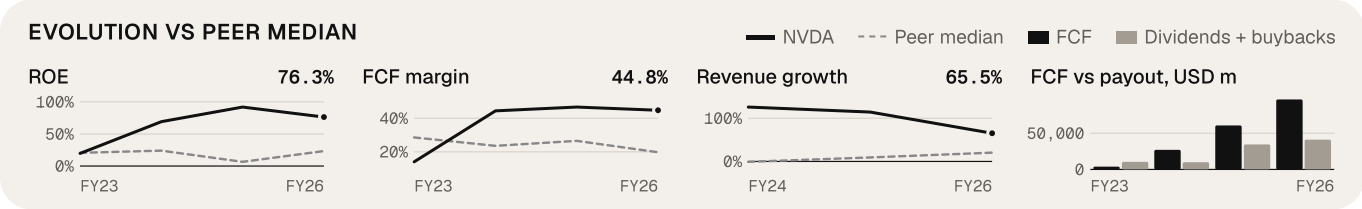
COMPANY	CAP, BN	FWD P/E	P/FCF	EV/EBITDA
AVGO Broadcom	1,402.0	15.1x	52.1x	27.5x
AMD Advanced Micro Devices	736.5	25.5x	n/m	65.5x
QCOM QUALCOMM	177.0	13.5x	20.5x	17.4x
MRVL Marvell Technology	127.0	19.2x	91.3x	43.9x
TXN Texas Instruments	253.6	24.0x	97.4x	24.2x
ADI Analog Devices	176.2	22.0x	41.2x	26.4x
Peer average		19.9x	60.5x	34.2x
Peer median		20.6x	52.1x	27.0x
NVDA NVIDIA	**4,506.8**	**11.7x**	**46.6x**	**22.2x**
Implied price at peer average		316.39	242.15	286.08
Implied price at peer median		328.24	208.55	226.14

Comps value USD 254.31 (+36%): average of the median implied prices in shaded columns. P/FCF on last FY's FCF. n/m: negative or above 100x.

4 · VALUE-TRAP CHECK

CHARACTERISTIC	METRIC	FY26	PEER MEDIAN	OWN PAST AVG.	VS PEERS	TREND
Profitability	ROE	76.3%	23.6%	60.3%	better	improving
Profitability	ROA	58.1%	12.7%	40.4%	better	improving
Profitability	FCF margin	44.8%	19.8%	35.0%	better	improving
Growth	Revenue growth	65.5%	20.4%	120.0%	better	worsening
Growth	Gross margin	71.1%	55.1%	68.2%	better	improving
Safety	Debt / equity	0.07	0.42	0.31	better	improving
Payout	Payout / FCF	0.42	1.15	1.23	better	improving

Earnings test: adjusted EPS 4.77 (FY26) → 9.31 → 15.91 (forward): rising. Trailing GAAP EPS of 7.91 includes one-off items.



PASS **No red flags, earnings rising: pass.** No red flag: returns, margins and FCF beat the peers and keep improving, and debt is almost nil. Revenue growth slows from a very high base, still far above peers. Capital goes back to shareholders, with USD 99bn of buybacks still authorised [1]. **Not a value trap.**

5 · ALPHA

ASSUMPTION	FORMULA	α, annual	IR
Gap closes in 1 year	α closed = $(1 + k)(V_0 - P_0) / P_0$	+28.2%	0.63
Gap never closes	α never = $D_1 / P_0 + g - k$	−8.2%	−0.18
Used: closes in 1 year	**Goes into Treynor-Black**	**+28.2%**	**0.63**

The Q3 results of 17 Nov [2] fall inside the window, so we assume the gap closes within a year (α closed). The comparables give USD 254.31, so the DDM is the cautious value. IR 0.63, against 0.64 for Buffett.

6 · SPECIFIC ISSUES

MAIN RISK: AI SPENDING AND THE INPUTS

Revenue rests on the capex of a few cloud and AI customers: a cut would hit growth fast, and China is out of the guide [1]. g1 is per-share growth and the payout includes buybacks, so they count twice: the DDM is an upper bound on these inputs.

UPSIDE: SUSTAINABLE GROWTH AND MANAGEMENT

The quarterly dividend is now USD 0.25 [1], but D0 counts the last 12 months, so the DDM understates it. At β = 1 the DDM gives USD 387.95, and analysts' target is USD 327.14. Founder-CEO Jensen Huang has led it since 1993; no activist route at this size.

[1] NVIDIA, Q2 FY2027 results, 26 Aug 2026. [2] NVIDIA, Q3 FY2027 conference call, 28 Oct 2026. Market data: Yahoo Finance and FRED, downloaded 08.11.26.